Customer Engagement, Conversion & Sentiment Analysis

Online Retail Business

1. Executive Summary

This report documents key insights derived from four Power BI dashboards covering Customer Demography, Conversion, Social Media Engagement, and Customer Sentiment. The business is experiencing reduced customer engagement and declining conversion rates despite increased marketing activity. The following analysis identifies root causes and provides actionable recommendations.

Problem	Despite launching multiple online marketing campaigns, the business is seeing fewer customer interactions, lower site conversions, and an increasing need to understand customer sentiment to reverse these trends.

2. Customer Demography Insights

2.1 Customer Profile Overview

The business currently serves 100 customers across 10 European countries. The demographic breakdown reveals meaningful patterns that should inform marketing strategy.

Metric	Value	Implication
Total Customers	100	Small, targeted base with room to grow
Gender Split (F/M)	54% Female / 46% Male	Slight female majority — target messaging accordingly
Top Country	Spain (~17 customers)	Primary market for localized campaigns
Largest Age Group	36-50 years old (~33)	Core demographic: established, higher purchasing power
Smallest Age Group	65+ years old (~7)	Underserved segment with potential

2.2 Key Observations

- The 36-50 age group dominates (~33%), followed by 51-65 (~23%) and 26-35 (~22%), indicating the customer base is primarily middle-aged professionals.
- Spain leads in customer count, followed by Italy and Germany. These three countries represent the core geographic audience.
- The 18-25 segment (~15%) and 65+ segment (~7%) are underrepresented — this may point to untapped market opportunities or gaps in campaign targeting.
- With a near-even gender split, marketing messaging should avoid over-indexing on either demographic.

3. Conversion Insights

3.1 Conversion Funnel Performance

The conversion dashboard reveals that while all visitors progress through to the checkout stage, a significant drop-off occurs at the final purchase step.

Metric	Value	Implication
Overall Conversion Rate	14.62%	Below-average — industry benchmark is ~20-25%
Checkout Drop-Off Rate	19.00%	1 in 5 checkout starters abandon before purchasing
Homepage to Checkout	100% → 100%	No funnel loss until final step
Checkout to Purchase	100% → 81%	19% abandon at final purchase stage

3.2 Conversion by Price Category

Medium and High price category products show significantly better conversion rates (~15-16%) compared to Low-priced products (~12%). This counter-intuitive finding suggests that low-price items may have quality perception issues, or that the target customer is less price-sensitive.

3.3 Year-over-Year Conversion Trends

- 2023 showed the highest conversion rates, particularly in January (~21%) and early months.
- 2024 and 2025 show flatter, lower conversion trends throughout the year — confirming the reported decline.
- September-October see a slight uptick across all years, likely seasonal buying behavior.
- April represents a consistent low point for conversions — a period that may need targeted campaign boosts.

Key Issue	The 19% checkout abandonment rate is the single largest lever to address. Reducing friction at checkout — such as streamlining payment options, adding trust signals, or implementing cart recovery emails — could have an outsized impact on revenue.

4. Social Media Engagement Insights

4.1 Overall Performance Metrics

Metric	Value	Implication
Total Views	12 Million	Strong reach across all content types
Total Clicks	2 Million	~16.7% click-through from views
Total Likes	529K	~4.4% engagement rate from views
Total Posts	4,623	Active, consistent publishing cadence
Click-Through Rate (CTR)	19.57%	Strong CTR — content resonates with audience

4.2 CTR by Content Type

All four content channels deliver a surprisingly consistent CTR:

- Video content: 19.85% CTR — highest performer
- Social Media posts: 19.73% CTR
- Blog content: 19.42% CTR
- Newsletter content: 19.25% CTR

The uniformity across content types suggests the issue is not with content quality or channel selection, but rather with what happens after the click — i.e., the on-site experience and conversion pathway.

4.3 Engagement Trends

- Views peaked in January and showed gradual decline through mid-year before stabilizing.
- Blog clicks consistently led in early months (January-April), while Video and Social Media clicks were more balanced across the year.

- November-December show a drop in click volume across all channels — potentially a seasonal effect or campaign fatigue.

Key Insight	With a 19.57% CTR, social media campaigns are successfully driving traffic. The engagement-to-conversion gap suggests that the problem lies downstream — in landing page experience, product presentation, or checkout friction — not in the campaigns themselves.

5. Customer Sentiment & Review Analysis

5.1 Sentiment Overview

Metric	Value	Implication
Average Rating	3.69 / 5.0	Moderate — below the 4.0+ threshold for strong loyalty
Total Reviews	1,363	Reasonable review volume for analysis
Dominant Sentiment	Positive (~800+ reviews)	Majority are satisfied customers
Second Largest	Negative (~300 reviews)	Significant dissatisfied segment to address
Mixed Sentiments	Mixed Neg + Mixed Pos	Ambivalent customers on the fence

5.2 Review Distribution

- 5-star and 4-star reviews dominate (approximately 400+ each), indicating a loyal, satisfied core customer base.
- 3-star reviews are the third largest group (~300), representing customers who are neutral or mildly dissatisfied.
- 1-star reviews are the smallest group, but remain noteworthy at ~100 reviews.

5.3 Sentiment Trends by Month

- Positive sentiment remains consistently the highest category throughout all months of the year.
- Negative sentiment shows a moderate uptick around mid-year (June-August), which may correlate with delivery or quality issues during peak periods.

- Mixed Negative sentiment shows slight spikes in February and September, which may reflect post-holiday or back-to-school disappointment.

5.4 Sample Review Highlights

The review table reveals recurring themes: product quality is frequently praised ("The quality is top-notch"), while average experiences are frequently attributed to delivery times and support interactions. Products like Hockey Stick, Swim Goggles, Football Helmet, and Tennis Racket receive the highest individual ratings (5 stars).

6. Recommendations

6.1 Conversion Optimization (Highest Priority)

- Implement cart abandonment email campaigns targeting the 19% checkout drop-off rate.
- Audit the checkout flow for friction points: reduce form fields, add trust badges, offer guest checkout.
- Run A/B tests on product pages for low-priced items to improve perceived value and conversion.
- Create targeted April promotions to combat the consistent seasonal conversion dip.

6.2 Customer Engagement

- Leverage the 19.57% CTR by ensuring landing pages are optimized and aligned with ad content.
- Invest in Video content given its marginally superior CTR performance.
- Focus campaigns on Spain, Italy, and Germany — the top three markets — with localized messaging.
- Develop targeted outreach for the 18-25 and 65+ age segments to grow the customer base.

6.3 Sentiment & Reputation

- Actively respond to negative and mixed-negative reviews to demonstrate customer care.
- Investigate delivery/quality issues flagged in mid-year reviews (June-August spike in negatives).
- Use high-rated products (Hockey Stick, Tennis Racket, Football Helmet) as featured/hero products in campaigns.
- Implement a post-purchase survey to capture structured feedback from the 3-star neutral segment.

6.4 Data & Analytics

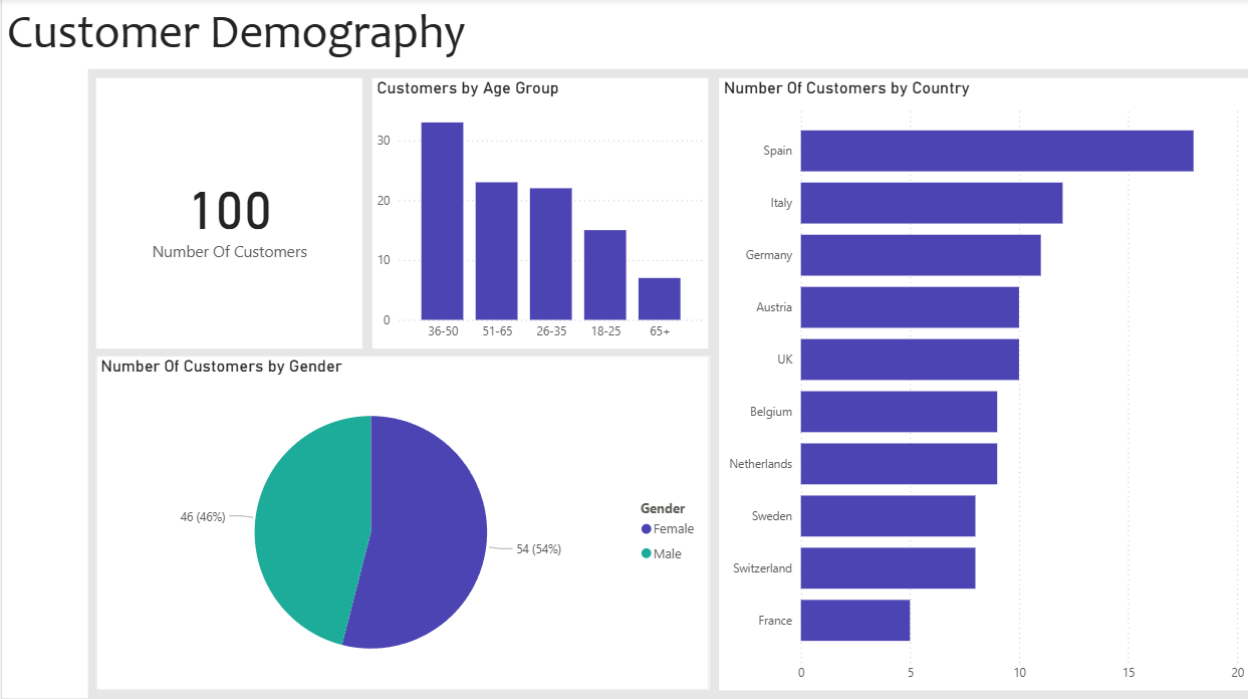
- Track conversion rates by country to identify if engagement-to-purchase gaps vary by geography.
- Correlate social media clicks with actual product page visits and conversion to close the attribution gap.
- Set a KPI target of 4.0+ average rating and 18%+ conversion rate for Q3 2026.

7. Conclusion & Recommendations

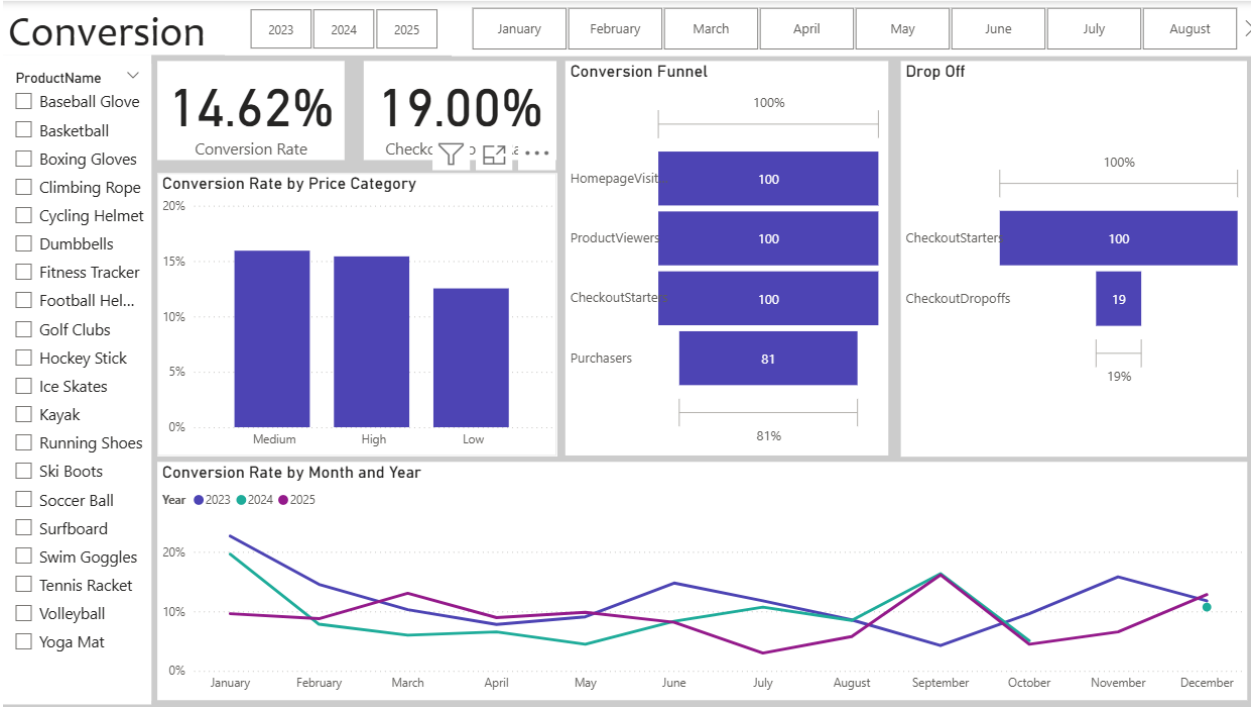
The data paints a clear picture: the business has strong brand awareness and effective social media reach, but is losing customers in the final stages of the purchase journey. The 19% checkout abandonment rate and below-benchmark 14.62% conversion rate are the critical metrics to address. Customer sentiment is moderately positive but has room for improvement — particularly in managing neutral and negative reviews.

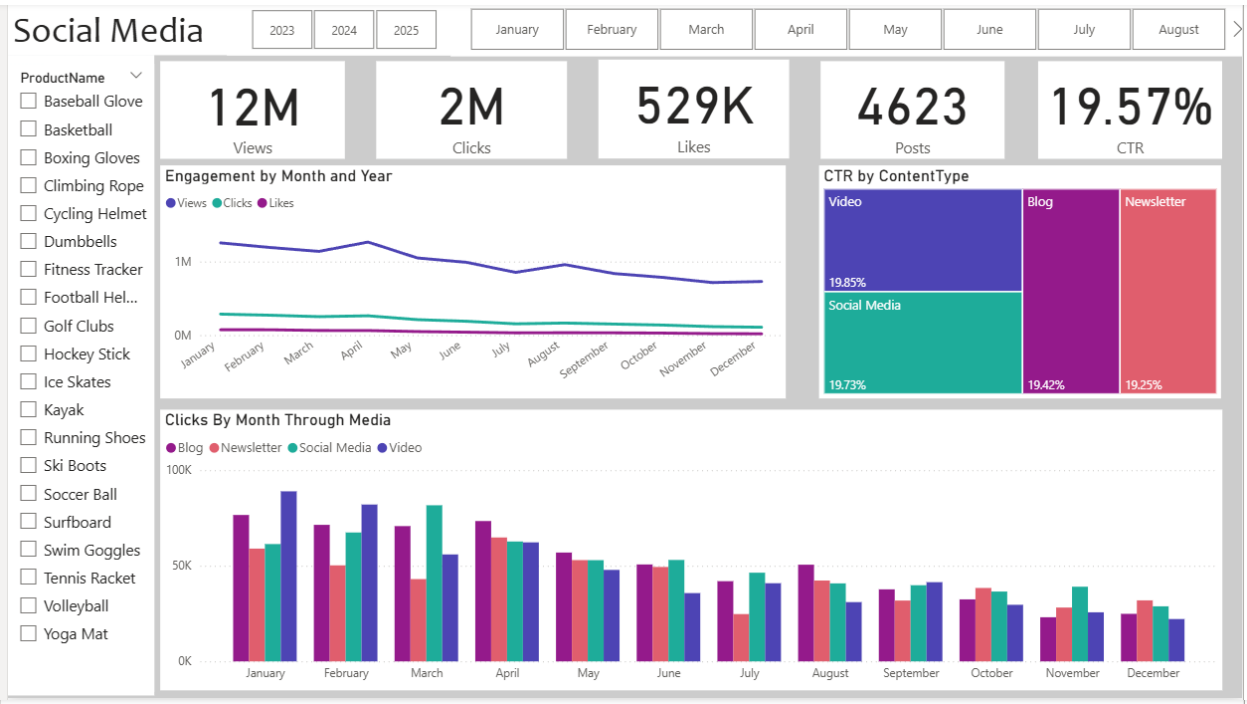
By focusing on **checkout optimization**, **targeted geographic campaigns**, and **proactive sentiment management**, the business is well-positioned to reverse the downward trend in engagement and conversions over the next two quarters.

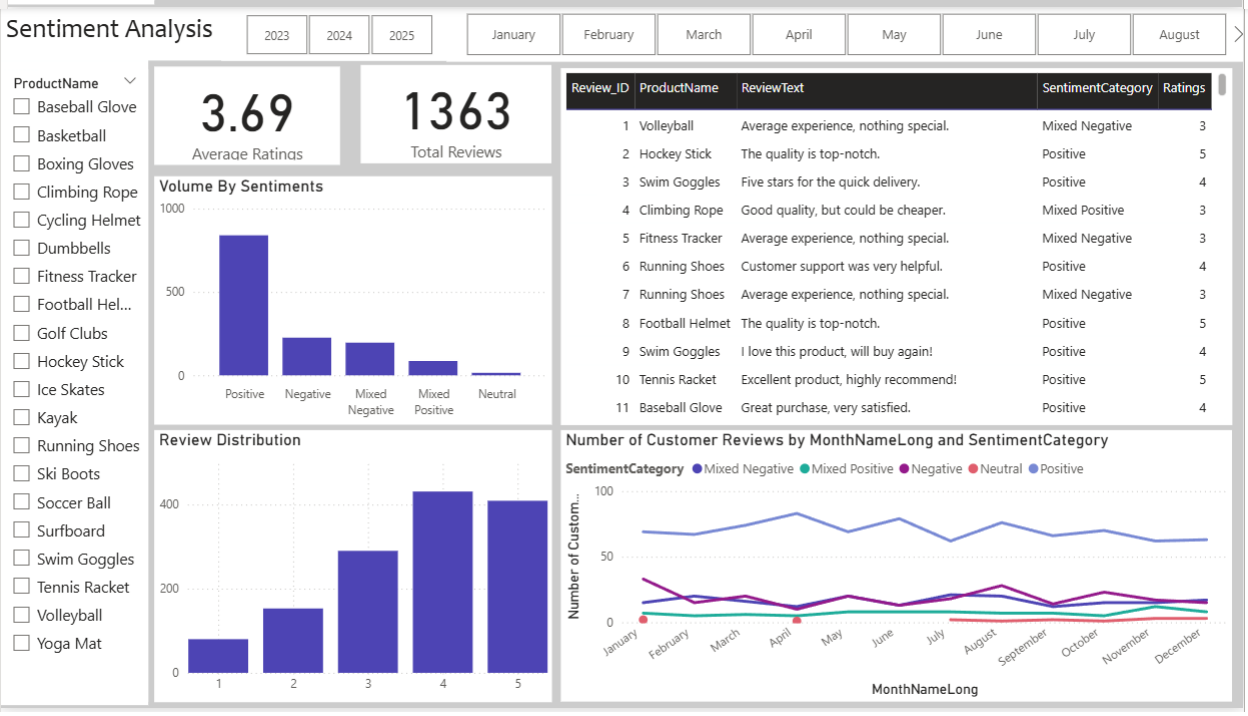
Customer Demography



Conversion







Review_ID	ProductName	ReviewText	SentimentCategory	Ratings
1	Volleyball	Average experience, nothing special.	Mixed Negative	3
2	Hockey Stick	The quality is top-notch.	Positive	5
3	Swim Goggles	Five stars for the quick delivery.	Positive	4
4	Climbing Rope	Good quality, but could be cheaper.	Mixed Positive	3
5	Fitness Tracker	Average experience, nothing special.	Mixed Negative	3
6	Running Shoes	Customer support was very helpful.	Positive	4
7	Running Shoes	Average experience, nothing special.	Mixed Negative	3
8	Football Helmet	The quality is top-notch.	Positive	5
9	Swim Goggles	I love this product, will buy again!	Positive	4
10	Tennis Racket	Excellent product, highly recommend!	Positive	5
11	Baseball Glove	Great purchase, very satisfied.	Positive	4